observed, ‘India is being asked to commit financial suicide in order to save herself from financial slaughter.’[12]

The argument that Japan’s entry into the war made a revision imperative also cut no ice with Purshotamdas. He observed that the cost of the war against Japan was as much a concern of the Allies as of India, and the economic capacity of each country should be the criteria in allocating financial burden. India, he said, had already borne a very heavy burden, and to increase this burden in the post-war period was inequitable and unfair. The argument that India had resorted to profiteering by selling goods at high prices was refuted by the Indian capitalists by quoting from statistics to show how India was in fact compelled to sell at controlled rates well below the market rates, and sometimes also lower than those paid by civilians.[13]

Purshotamdas and other Indian capitalists feared that depreciation would lead to a massive loss to India and wanted a guarantee which would protect her from such loss on the lines of the Gold Guarantee Clause given to Argentina. Fears over the loss of status of sterling as an international currency led to apprehensions that the balances would be used to assure a market for Britain after the war, irrespective of the price or suitability of British goods available in England. Therefore Purshotamdas and others wanted no restriction on the time, place, and manner of utilizing these assets, and it was to ensure convertibility and an early liquidation of the sterling balances that they wanted the issue to be resolved multilaterally at Bretton Woods. Another demand was the abolition of the Empire Dollar Pool in which India’s dollar earnings were put in the name of helping the war effort.

The sterling balance accretion which was a constant concern of the Central Board throughout the war years, engaged its attention again in early 1946. At the end of January 1946, B.M. Birla informed Deshmukh of his desire to move a resolution at the next meeting of the Board regarding the unsatisfactory position of India’s earning in dollars and the mounting sterling balances of the Bank. This resolution was moved at the February 25, 1946, meeting of the Board, who asked that all disbursements in future made by the British government in rupees must be paid for either in free foreign currencies, or in capital goods, or in such consumer goods acceptable to India or in bullion. There was no reply from the government